

Journal Entries & Ledgers

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

Journal Entries & Ledgers sit at Stage 1 and Stage 2 of the accounting cycle: the journal is the book of original (prime) entry that records every transaction date-wise using the dual-aspect rule (Debit the receiver, Credit the giver), and the ledger is the book of final entry holding the classified set of accounts that the journal entries are later posted into.

The Accounting Equation — $\text{Assets} = \text{Liabilities} + \text{Capital (₹)}$ — underpins every entry, and the cardinal check is $\text{Total Debits} = \text{Total Credits}$ per entry. Apply the three Golden Rules to Personal, Real and Nominal accounts, balance each ledger at period-end, and the resulting debit/credit totals flow straight into the Trial Balance.

Account Type	Debit	Credit
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Personal	The receiver	The giver
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Real	What comes in	What goes out
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Nominal	Expenses / losses	Incomes / gains
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Three highest-yield points: (1) every journal entry needs a clear narration, (2) Compound entries (one debit, multiple credits or vice-versa) must be combined into one entry, and (3) ledger balancing errors are the most common cause of a mismatched Trial Balance.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

The Journal — Book of Original Entry

A source document (invoice, receipt, debit/credit note, voucher) triggers a journal entry written in chronological order with date, debit account, credit account, and a concise narration explaining the transaction. The ICSI study material specifically penalises missing narrations, so treat the line "Being cash received from Ram" as non-optional.

The supporting arithmetic identity is the Accounting Equation:

$$\text{Assets (₹)} = \text{Liabilities (₹)} + \text{Capital (₹)}$$

Because every transaction preserves this equation, every journal entry must satisfy $\text{Total Debits} = \text{Total Credits}$ in ₹.

The Three Golden Rules

The rules govern which side of an entry each account gets:

- Personal Account (debtors, creditors, capital, drawings) — Debit the receiver, Credit the giver.
- Real Account (assets like Cash, Furniture, Stock, Building) — Debit what comes in, Credit what goes out.
- Nominal Account (expenses, losses, incomes, gains) — Debit all expenses/losses, Credit all incomes/gains.

A frequent Paper 1 question threads 4-6 transactions across all three account types, e.g., goods

purchased for cash Debit Purchases A/c, Credit Cash A/c (Nominal debit, Real credit).

The Ledger — Book of Final Entry

Posting moves each debit and credit from the journal into the matching ledger account on the correct side. Period-end balancing follows two formulas:

Account Nature Closing Balance (₹)

Asset / Expense Opening Balance + Total Debits – Total Credits

Liability / Income / Capital Opening Balance + Total Credits – Total Debits

If debits exceed credits the account carries a Debit Balance; otherwise a Credit Balance.

Variations of Journal Entries

Beyond the simple two-account entry, paper setters test specialised forms: Opening entries at the start of a financial year, Closing entries transferring nominal balances to Trading/Profit & Loss, Adjusting entries for accruals and prepayments, Rectifying entries fixing errors spotted before trial-balance preparation, Transfer entries moving items between ledgers, and Contra entries recording dual cash-and-bank transactions. Compound entries combine one debit with several credits (or vice-versa) under a single narration, e.g., credit purchase of furniture ₹5,000 and goods ₹20,000 from Mohan Debit Furniture A/c ₹5,000, Debit Purchases A/c ₹20,000, Credit Mohan ₹25,000.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Edge Cases and Mechanic Traps

1. Mixed-account transactions. A single deal can trigger both Personal and Real accounts. Example: Sharma started business with cash ₹1,00,000 and furniture ₹30,000 — one Compound Opening Entry (Debit Cash ₹1,00,000, Debit Furniture ₹30,000, Credit Capital ₹1,30,000) is required, never two separate entries.

2. Contra entries. Cash deposited into bank (or withdrawn) is recorded on both the Cash and Bank columns of the Cash Book, treated as one contra entry because both legs affect Real accounts — Cash comes in (debit) and Cash goes out at the bank (credit), but the practical shortcut is a single dual-sided Cash Book entry.

3. Rectifying entries without altering prior balances. An error of original entry (e.g., ₹1,200 sales to Ram wrongly debited to Shyam) needs a rectifying entry that uses the Suspense A/c only if a Trial Balance imbalance already exists; otherwise the entry is a direct debit/credit swap between the two parties.

Worked Numeric — Ledger Balancing

Ledger of Rent A/c for Q1 (Opening ₹0):

Date Debit (₹) Credit (₹)

05-Jan 10,000 —

20-Feb 10,000 —

28-Mar — 2,000 (received back)

Applying the Asset/Expense balance formula: $0 + 20,000 - 2,000 = ₹18,000$ Debit Balance. This becomes a line item in the Trial Balance debit column.

Common Mistakes

Examiner traps: reversed Dr/Cr for goods withdrawn by proprietor (Debit Drawings, Credit Purchases — not Credit Stock), missing narrations, splitting compound entries, and forgetting to balance the ledger before drafting the Trial Balance.

Two Practice Prompts

Journalise: "On 1st April, X, Y and Z partners contributed cash ₹50,000, ₹30,000 and ₹20,000 respectively and brought machinery worth ₹15,000 by X. Pass the opening entry and post the machinery to the fixed-asset ledger."

From the following Trial Balance mismatch of ₹500 (credit side short), trace whether the cause is an unposted credit sales entry of ₹500 or a wrongly-debited expense, and write the rectifying journal entry.

Where It Shows Up in the Exam

The chapter carries about 3% of CS Executive paper weight (Financial & Strategic Management Accounting / Accounting), typically appearing as a 6–10 mark sub-question within larger journal-to-final-accounts problems. Mastery here unlocks every downstream topic: Trial Balance, Rectification of Errors, Depreciation, and Bank Reconciliation.

Continue your study

- View this topic in your CS Executive roadmap — see where "Journal Entries & Ledgers" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Accounting notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.